GLOBAL INVESTMENT SOCIETY
Investment Research Division

lululemon athletica inc.

NASDAQ: LULU

Recommendation: OVERWEIGHT / LONG

Current price: $100.00 Price target: $140 (+40% upside)

A net-cash, high-margin brand priced for terminal decline — we see a cyclical trough, not a broken business

September 2026 Prepared for the GIS IR selection process

What this pitch will cover

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Source: company SEC filings (Form 10-K, CIK 0001397187)

Investment Thesis Summary

Overweight LULU with a $140 target on ~40% upside and an asymmetric payoff

PRICE TARGET

$140

+40% vs $100.00 today

RATING

OVERWEIGHT

12-month horizon

WHY NOW

Shares –55% off highs; ~18% single-day drop after Q2 FY2026 print (Sep 3, 2026) overshoots the fundamentals

Three reasons to be long

1. Priced for terminal decline — at ~3.5x EV/EBITDA and ~10x FY2026E EPS with a net-cash balance sheet, the stock embeds a permanent impairment that the business does not support
2. International is a multi-year growth engine — China Mainland and Rest-of-World more than offset a maturing Americas and can return total revenue to low-single-digit growth (~2.3% FY27–30 in our model)
3. Elite economics + accretive buybacks — FY2025 operating margin was 19.9% (last full year, not the trough); we model a 13.2% clean FY2026 run-rate (Q2 18.8% minus 560bps of tariff refunds), then add the $134.5M refund once (~15.2% reported in our IS). Diluted shares are down ~7% (128.0M → 119.1M)

Base-case DCF $134; bear $56 (–44%) vs bull $202 (+102%) — downside is protected by net cash and an ~8–9% FCF yield

Source: company SEC filings (Form 10-K, CIK 0001397187)

A high-quality compounder has de-rated to value multiples after a guidance reset

What happened

- LULU shares fell from a 52-week high of ~$226 to ~$100, including an ~18% single-day decline following the Q2 FY2026 earnings release on September 3, 2026
- Management guided FY2026 to the first annual revenue decline in company history: net revenue of $10.35–$10.50B (−5% to −7%) and diluted EPS of $9.48–$9.73
- The Americas (the majority of sales) has decelerated to negative comparable sales, while tariffs and higher promotions pressure gross margin and SG&A deleverages on lower volume

Where the business stands (FY2025, ended Feb 1, 2026)

- Net revenue $11,102.6M (+4.9% y/y); gross profit $6,284.1M (56.6% margin); operating income $2,210.6M (19.9% margin)
- Net income $1,579.2M; diluted EPS $13.26; diluted shares 119.1M (down from 128.0M in FY2022)
- Balance sheet: $1,807.2M cash and no funded debt — a net-cash position that funds buybacks and international expansion
- Cash from operations $1,602.5M; capital expenditures $680.8M → ~$0.9B free cash flow even in a decelerating year

Source: company 10-K (FY2025, ended Feb 1, 2026) and Q2 FY2026 release (Sep 3, 2026)

Macro × Micro Overlap

A discretionary macro air pocket collided with an Americas-specific slowdown — the stock prices both at once

Macro (external)

- Real GDP still grows ~2.1% y/y (FRED GDPC1 Q2’26 vs Q2’25) — not recession, but selective spending away from premium discretionary
- Inflation and economic uncertainty weighed on Americas store traffic (10-K) — macro consumer caution shows up in micro footfall
- Tariff regime: Q2 recognized $134.5M IEEPA refunds (+560 bps GM) while new tariff layers remain an overhang on sourcing costs
- Athleisure competition intensifying at macro category level (Nike/adidas incumbents + Alo/Vuori/On challengers)

Micro (company-specific)

- Americas comps: −3% FY2025 → −12% in Q2 FY2026; China +20% FY2025 but −6% in Q2 as the base scales
- 811 stores (+44 net FY2025) at ~$1,426/sq ft — still opening doors while mature-region comps turn negative
- FY2026 guide: first annual revenue decline (−5% to −7%) and EPS $9.48–$9.73; Q3 guide −10% to −11%
- Clean run-rate EBIT margin ~13.2% (Q2 18.8% OM minus 560 bps tariff boost) — investors who miss this overstate sustainable margin

OVERLAP — WHY $100

- Macro weakness maps onto LULU’s largest profit pool: Americas ~71% of FY25 revenue (10-K: 70.7%)
- Tariff is simultaneously macro policy and micro P&L — Q2 optics mask run-rate margin
- The de-rating blends macro fear with a micro guide miss; both are largely in the price at ~10x FY26E EPS
- Our edge: underwrite trough economics (13.2% → 15.5% OM), not a return to 30x earnings
- International micro growth (China/RoW) is the bridge — but needs macro stability, not a free option

Source: FY2025 10-K (SEC EDGAR); Q2 FY2026 release (Sep 3, 2026); FRED GDPC1 (Aug 2026)

Market Narrative

Sentiment has capitulated — the sell-side is cutting targets into the print

What the street is saying

- Consensus rating has drifted to “Hold / Reduce” with a rapidly falling target; recent cuts include Goldman Sachs and JPMorgan to $95, Morgan Stanley $93 (Underweight), Wells Fargo $95, and Bank of America to $122
- Bear case: Americas saturation and negative comps, tariff-driven gross-margin pressure, SG&A deleverage, and share loss to emerging brands (Alo, Vuori, On)

Our differentiated view

- The tape has moved from euphoria (30–40x earnings in 2023–24) to capitulation (~10x today) — expectations are now low enough that even a conservative recovery re-rates the stock
- At ~3.5x EV/EBITDA the market implicitly assumes revenue and margins decline in perpetuity; our base case only needs stabilization, not a return to peak growth
- Consensus is extrapolating one weak fiscal year; we underwrite the international runway and structural margins the street is discounting to zero

Source: sell-side research notes (Sep 2026); company guidance

A vertically integrated, direct-to-consumer technical apparel brand

Business

- Founded 1998 in Vancouver; designs technical athletic apparel and accessories for yoga, training, running and everyday wear
- Sells through company-operated stores, a direct e-commerce channel, and select wholesale — a predominantly DTC model that captures full retail economics and first-party data
- Reports revenue by geography: Americas (majority of sales), China Mainland (fastest-growing), and Rest of World

Revenue trajectory (US$ M)

- FY2022: 8,110,518 → op. margin 16.4%
- FY2023: 9,619,278 → op. margin 22.2%
- FY2024: 10,588,126 → op. margin 23.7%
- FY2025: 11,102,600 → op. margin 19.9%

GROWTH ARCHITECTURE

Americas

Mature, high-productivity base; now negative comps — the source of the market's concern

China Mainland

Fastest-growing region (~20%+); large store and brand-awareness runway

Rest of World

Early-stage in Europe and APAC; men's and international whitespace underpenetrated

Source: company SEC filings (Form 10-K, CIK 0001397187)

Business Model & Unit Economics

Premium pricing plus DTC scale drives sector-leading margins

Unit economics

- Gross margin ~57–59% — premium, full-price selling with historically limited promotion
- Operating margin ~20% (peaked ~24% in FY2024) — among the best in branded apparel
- Asset-efficient store fleet: leased footprint (right-of-use assets ~$1.6B) with high sales productivity per square foot
- Cash-generative: FY2025 CFO $1,602.5M on $680.8M capex → ~$0.9B free cash flow

Competitive moats

- Brand and community (ambassadors, in-store events) supporting pricing power
- Product innovation and proprietary fabrics driving repeat purchase
- First-party DTC data enabling assortment, pricing and inventory discipline
- Scale in sourcing and a growing men's and international opportunity

MARGIN PROFILE (FY2025)

Gross margin	56.6%
Operating margin	19.9%
Net margin	14.2%
FCF (approx.)	~$0.9B

Source: company SEC filings (Form 10-K, CIK 0001397187)

Structural tailwinds favor scaled brands in a consolidating category

Category dynamics

- Global activewear / athleisure is a large (~$400B) market growing at a mid-single-digit rate, supported by health, wellness and the ongoing casualization of apparel
- The category is fragmented but consolidating toward brands with scale, technical product and omnichannel reach; Nike and adidas are incumbents, with Vuori, Alo and On emerging
- Barriers to entry are rising: brand equity, technical fabric development, supply-chain scale and a productive retail footprint are difficult to replicate quickly

Where LULU fits

- A premium, category-defining brand in technical apparel with structurally higher margins than most peers
- Under-indexed internationally versus Nike/adidas — the primary multi-year growth lever
- Competition is real but LULU's scale, innovation cadence and community remain differentiated

Source: company filings; industry estimates (analyst)

The valuation already discounts a permanently shrinking business

The market is paying trough multiples for a brand that still earned 19.9% operating margin in FY2025

- At ~\$100 the stock trades at ~3.5x EV/EBITDA and ~10.4x FY2026E EPS — versus a 5-year history of ~20–30x earnings
- The balance sheet holds \$1.8B of cash and no funded debt, so nearly the entire enterprise value is covered by the operating business at a very low multiple
- Our base-case DCF (WACC 9.0%, terminal growth 2.25%, terminal EBIT margin 15.5%) is in the model — bear is ~\$56; downside is cushioned by net cash and FCF yield, not because bear brackets \$100
- To justify \$100 you must assume revenue and margins fall in perpetuity; that is inconsistent with international growth and the FY2026 tariff-refund tailwind

VALUATION SNAPSHOT

EV / EBITDA: 3.5x

FY2026E P/E: 10.4x

FCF yield: ~8–9%

Net cash: \$1.8B

DCF base: \$134

Source: company SEC filings (Form 10-K, CIK 0001397187)

Geographic mix shift is the bridge back to low-single-digit revenue growth (~2.3% FY27–30)

- China Mainland has been compounding at ~20%+ with a long runway in store count and brand awareness relative to the Americas base
- Rest of World (Europe, APAC) is early-stage and under-penetrated versus global peers — an incremental multi-year contributor
- As international scales, it dilutes the drag from negative Americas comps; our model returns total revenue to ~2.3% growth (Street 3Y forecast 2.26%) after the FY2026 reset
- Men's and the digital channel add further optionality that the market is not paying for today

REVENUE PATH (model)

FY2025A: $11,102.6M

FY2026E: $10,425M (−6.1%)

FY2028E: $10,942M

FY2030E: $11,452M

Best-in-class margins and buybacks compound value through the trough

Even a down year throws off ~$1B of FCF that is being returned aggressively

- Operating margin remains ~20% in FY2025 — far above most branded-apparel peers — with room to recover as tariffs and promotions normalize
- FY2025 cash from operations was $1,602.5M; after ~$681M capex the business generated roughly $0.9B of free cash flow
- The company repurchased $1.6B (FY2024) and $1.2B (FY2025) of stock; share count has fallen from 128.0M (FY2022) to 119.1M (FY2025)
- At ~$100 per share, every dollar of buyback retires far more shares than at prior highs — highly accretive to per-share value

CAPITAL RETURN

FY2025 CFO: $1,602.5M

FY2025 capex: $680.8M

FY2025 buyback: $1,178.3M

Shares: 128.0M → 119.1M

Source: company SEC filings (Form 10-K, CIK 0001397187)

The bear points are real but largely discounted at today's multiple

Risks & Mitigants

Risk → Mitigant

Risk	Mitigant
Brand fatigue / fashion risk in a core-heavy assortment	Deep product pipeline, community engagement and international whitespace diversify demand
Americas comparable sales stay negative	Expectations are already low; ~10x earnings provides a valuation cushion if declines moderate
Tariffs compress gross margin	Pricing power, sourcing diversification, and $0.86/share of FY2026 tariff refunds offset part of the hit
Competition from Alo, Vuori, On and incumbents	Scale, fabric innovation, and under-penetrated men's / international segments defend share
FX translation on a growing international mix	Natural operational hedges and an active hedging program limit earnings volatility

Source: company SEC filings (Form 10-K, CIK 0001397187)

Catalyst Timeline

A sequence of events that closes the gap to intrinsic value

Q3 FY2026 (Dec 2026)	Company guided revenue −10% to −11%; watch for stabilization signals and holiday traffic / China 11.11 read-through
FY2026 year-end (early 2027)	First full year lapping the reset; tariff refunds and cost actions support EPS versus lowered expectations
FY2027	Margin inflection as promotions/tariffs anniversary; continued accretive buybacks compound per-share value
FY2027–FY2028	Total revenue returns to growth as international scales — the trigger for multiple re-rating toward peers

Source: company SEC filings (Form 10-K, CIK 0001397187)

Historical results with our base-case forecast (US$ M)

Financials — Income Statement

US$ M	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2028E	FY2030E
Net revenue	**8,111**	**9,619**	**10,588**	**11,103**	**10,425**	**10,942**	**11,452**
Gross profit	4,492	5,609	6,271	6,284	6,025	6,292	6,642
Operating income	**1,328**	**2,133**	**2,506**	**2,211**	**1,587**	**1,853**	**2,112**
Operating margin %	16.4%	22.2%	23.7%	19.9%	15.2%	16.9%	18.4%
Net income	855	1,550	1,815	1,579	1,142	1,322	1,496
Diluted EPS ($)	**6.68**	**12.20**	**14.64**	**13.26**	**10.02**	**12.58**	**15.40**

FY2026E reported OM 15.2% = clean ~13.9% (56.5% GM − 42.5% SG&A) plus $134.5M IEEPA refund (~+1.3 ppt). DCF uses the Q2 clean 13.2% run-rate as its trough.

Source: company 10-K filings; projections per GIS operating model

Financials — Balance Sheet

A net-cash balance sheet underpins downside protection (US$ M)

US$ M	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2028E	FY2030E
Cash & equivalents	1,155	2,244	1,984	1,807	2,375	3,778	5,648
Inventories	1,447	1,324	1,442	1,701	1,542	1,535	1,587
Total assets	**5,607**	**7,092**	**7,603**	**8,457**	**8,946**	**10,728**	**12,888**
Total liabilities	2,458	2,860	3,279	3,495	3,280	3,432	3,586
Total equity	**3,149**	**4,232**	**4,324**	**4,962**	**5,666**	**7,296**	**9,303**
Funded debt	**0**	**0**	**0**	**0**	**0**	**0**	**0**

No funded debt and a growing cash balance fund buybacks and international expansion — the core of our margin of safety

Source: company 10-K filings; projections per GIS operating model

Financials — Cash Flow

Durable free cash flow through the trough (US$ M)

US$ M	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2028E	FY2030E
Cash from operations	966	2,296	2,273	1,602	1,797	1,894	2,068
Capital expenditures	(639)	(652)	(689)	(681)	(730)	(602)	(573)
Free cash flow	**328**	**1,644**	**1,583**	**922**	**1,067**	**1,292**	**1,495**
Share repurchases	(444)	(559)	(1,637)	(1,178)	(500)	(500)	(500)
D&A	292	379	447	496	480	492	515

Free cash flow stays around $1B+ even in the FY2026 reset year, comfortably funding continued repurchases

Source: company 10-K filings; projections per GIS operating model

Capital Structure & WACC

A lease-adjusted capital structure drives a ~9.0% discount rate

Capital structure

- No funded debt; an undrawn revolving credit facility provides liquidity
- $1,807.2M cash and equivalents — a net-cash position
- Market EV at ~$100 is ~$9.3B (~3.5× FY25 EBITDA); intrinsic DCF enterprise value is ~$15B
- We relever Yahoo 5Y β (0.86) at FY25 ASC 842 lease debt ÷ market cap (~0.16 D/E) → β used ≈ 0.84. Damodaran Retail β (0.95) is shown for reference only.
- Capital returned via buybacks (no dividend); FY2025 repurchases $1,178.3M

WACC BUILD (CAPM)

Risk-free rate (10-yr UST)	**4.8%**
Equity risk premium	**6.0%**
Beta (relevered; lease adj.)	**0.84**
Cost of equity	**9.9%**
Lease-debt weight	**14%**
Equity weight	**86%**

WACC = 9.0%

Multiple methods converge above the current price — target $140

Valuation Summary

We set a 12-month target of $140 — above the Gordon DCF of $134, for a partial re-rating toward historical multiples — implying ~40% upside

The P/E low end (~$96) sits near today's price, showing how little recovery is required for the stock to work

Source: GIS DCF and comps models; multiples are analyst ranges

DCF Valuation

Base-case unlevered DCF yields ~$134 per share

Base-case assumptions

Assumption	Value
Revenue growth (FY26 → FY30)	−6.1% → +2.3%
EBIT margin (FY26 → FY30)	13.2% clean → 15.5% (+ $134.5M FY26)
Tax rate	30%
Capex % of revenue	5.5% blend
WACC	9.0%
Terminal growth	2.25%

VALUATION OUTPUT (US$ M)

PV of explicit FCF (FY26–FY30) **3,944**

PV of terminal value **10,933**

Enterprise value **14,876**

Plus: cash **1,807**

Equity value **14,885**

÷ Diluted shares (M) **111.4**

Implied value: $134 / share

Sensitivity — implied share price (WACC vs terminal growth)

WACC \ g	1.5%	2.0%	2.25%	2.5%	3.0%
9.5%	$115	$121	**$124**	$127	$135
10.0%	$108	$113	$116	$119	$125
10.5%	$102	$106	$109	$111	$117
11.0%	$97	$100	$103	$105	$110
11.5%	$92	$95	$97	$99	$103

Source: GIS DCF model (from scratch); FY2025 cash & share count per 10-K

Comparable Companies

PitchBook pubcomps are the current tape; Alo still has no EV/EBITDA

Company	EV/EBITDA	P/E	EV ($000)	EBITDA ($000)
lululemon (LULU)	**4.7x**	**8.3x**	**11,890,440**	**2,548,084**
Nike (NKE)	12.7x	18.3x	58,972,350	4,647,000
adidas (ADS)	9.2x	19.1x	35,661,944	3,857,684
Deckers (DECK)	7.9x	12.1x	10,555,510	1,329,439
Crocs (CROX)	7.8x	10.3x	7,153,911	922,278
Levi Strauss (LEVI)	9.6x	15.0x	9,422,753	976,700
Kontoor (KTB)	12.9x	18.0x	5,236,269	407,521
Alo Yoga (private)	n.a.	n.m.	—	—

Read-through — we do not average these for terminal value

- PitchBook core mean (ex-UAA, ex-WSM/MOV/LZB) is the current athletic/apparel tape. UAA has negative EBITDA so it is out of the average
- Selected TV is the Gordon identity (~7.4x FY30 EBITDA at base WACC/g). A 2.25% g year is not today's NKE 12.7x or WSM 15.4x
- Alo EV/EBITDA is still n.a. Implied 5.0x is EV/Sales on an unclosed $10bn ask — not in this PitchBook set and not the TV

Source: PitchBook Comps Set 04-Sep-2026 (EV/EBITDA = daily EV / TTM EBITDA); Alo ask $10bn / Forbes ~$2bn

Asymmetric payoff: limited downside, substantial upside

Appendix — Bull / Bear Scenarios

BEAR $56
−44% vs $100

- FY2026 revenue −9%; growth stays negative (−1% avg FY28–30)
- Terminal EBIT margin 12.0%
- WACC 11.0%; terminal growth 1.5%
- Americas decline persists; share loss continues

BASE $134
+34% vs $100

- FY2026 revenue −6.1%; then +2.3% (Street 3Y forecast)
- Clean EBIT margin 13.2% → 15.5%; + $134.5M refund in FY26 only
- WACC 9.0%; terminal growth 2.25%
- International offsets a stabilizing Americas

BULL $202
+102% vs $100

- FY2026 revenue −4%; +6% avg FY27–30
- Terminal EBIT margin 19.0%
- WACC 9.5%; terminal growth 3.0%
- Margin recovery toward peak; brand re-accelerates

Probability-weighted value (25% / 50% / 25%) ≈ $131 — the risk/reward skews decisively to the upside

Source: GIS DCF model (scenario tab)

Data provenance and standard research disclaimer

Sources & Disclaimer

Sources

- Historical financials: lululemon athletica inc. Forms 10-K via SEC EDGAR (CIK 0001397187); FY2025 fiscal year ended February 1, 2026
- Q2 FY2026 results and FY2026 guidance: company earnings release dated September 3, 2026
- Market data (price, shares, beta): public market sources as of early September 2026
- Projections, DCF and comparable-company analysis: GIS Investment Research models, built from scratch for this assignment
- Alo Yoga: Reuters 2023 Moelis ask ~$10bn (no deal announced, Reuters 2026) and Forbes Color Image sales nearly $2bn. No page prints EV/EBITDA; implied 5.0x is EV/Sales, not the FY30 exit

Disclaimer

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